

SEAMEC Limited	ACCUMULATE
NSE: SEAMECLTD Offshore Marine & Diving Services MMG Group	12M Price Target ■1,850

CMP (■)	Mkt Cap (■ Cr)	52W High/Low	P/E (TTM)	P/B (x)
1,496	3,803	1,500 / 753	19.9x	3.54x
ROCE (%)	ROE (%)	Book Value (■)	Div Yield (%)	Face Value (■)
8.60%	7.93%	423	0.00%	10

Rating	ACCUMULATE (Medium Conviction)	Report Date	04 April 2026
Price Target (12M)	■1,850 (+23.7% upside)	Investment Horizon	12–18 months
Data Source	Screener.in (Consolidated)	Analyst	Himanshu Chartitude Research
Thesis (one-line)	SEAMEC rides ONGC's \$11B offshore capex wave with a specialist diving fleet and improving margin profile.		

Shareholding Pattern (Dec-2025)

Promoter	FII	DII	Public	Promoter Pledge
72.72%	3.36%	4.08%	19.84%	0.00%

Source: Screener.in (Consolidated) | All figures in ■ Crore unless stated | (E) = Estimate | This report is for informational purposes only and does not constitute investment advice.

2. INVESTMENT THESIS

Thesis Pillar 1: Sole listed pure-play on India's booming offshore subsea services market

SEAMEC is the only listed company providing specialised diving support, subsea inspection/maintenance/repair (IMR), and multi-support vessel (MSV) services in India. ONGC has committed to laying over 1,000 km of sub-sea pipelines and establishing 25+ offshore facilities over the next three years — a USD 11 billion programme requiring exactly the services SEAMEC provides. With no domestically listed competitor of comparable capability, SEAMEC is structurally first-in-line for ONGC's deepening offshore spend.

Thesis Pillar 2: Fleet expansion and contract wins set the stage for a step-change in earnings

SEAMEC has invested aggressively in fleet expansion since FY22 — growing fixed assets from ■411 Cr to ■717 Cr by FY24 — and recently acquired a fifth DSV, SEAMEC AGASTYA, for USD 23 million (deployed December 2025). This capex heavy cycle is now transitioning to harvest mode. Two fresh ONGC contracts — ■329.92 Cr (698 days, Samudra Prabha) and ■410.74 Cr (738 days, Samudra Sevak) — awarded in late FY26 and early FY27 respectively provide firm revenue visibility exceeding ■740 Cr over the next two years, on top of existing bilateral arrangements.

Thesis Pillar 3: Operating leverage drives margin re-rating from the mid-30s toward 40%+

SEAMEC's cost base is dominated by vessel operating costs, crew, and fuel — largely fixed. Revenue growth from higher utilisation and new contracts therefore flows through disproportionately to EBITDA. The TTM OPM of 39% vs 29% in FY23 illustrates this leverage. With five vessels now operational and contracted, we estimate EBITDA margins sustaining above 39% in FY27E vs the 33% reported in FY25, implying PAT more than doubling by FY27E from FY25 levels.

Near-Term Catalyst (6–12 Months)

Full deployment of SEAMEC AGASTYA and ramp-up of the two new ONGC O&M contracts are expected to drive a sharp inflection in FY27 revenue and profitability, which could trigger a re-rating toward 20–22x forward earnings.

Single Biggest Structural Risk

ONGC constitutes the overwhelming majority of SEAMEC's revenue; any slowdown in ONGC's offshore capex programme, contract deferral, or shift toward in-house execution would materially impair earnings visibility.

3. BUSINESS OVERVIEW

Simple Explanation

Think of SEAMEC as a hospital ship for India's offshore oil infrastructure. ONGC drills for oil deep under the ocean, but the pipelines, buoys, and wellheads that bring that oil to shore need constant inspection, repair, and maintenance. SEAMEC's specialised vessels and saturation divers go out to sea, fix what is broken, and keep the oil flowing — on long-term contracts paid by ONGC.

Core Business Model

SEAMEC operates through two segments. The **Offshore Services** segment (primary) provides: subsea inspection, maintenance, repair & installation (IMR); diving support (air and saturation); single buoy mooring (SBM) inspection, maintenance, removal & re-installation; pipeline pigging; ROV operations; and accommodation barging. The **Shipping/Bulk Carriers** segment (secondary) involves ownership and operation of three bulk carriers for dry-bulk cargo transport. The company derives approximately 85–90% of revenue from offshore services, with bulk carriers contributing the remainder.

Fleet

SEAMEC operates a fleet of five Diving Support / Multi-Support Vessels (DSVs/MSVs): SEAMEC II, SEAMEC III, SEAMEC PRINCESS, SEAMEC PALADIN, and the newly acquired SEAMEC AGASTYA (ex-NPP Nusantara, USD 23M, deployed December 2025). Additional assets include SEAMEC SWORDFISH (MSV), SEAMEC DIAMOND (OSV), and SEAMEC GLORIOUS (Accommodation Barge). The fleet is well-maintained and class-certified for operations in ONGC's Western Offshore Basin as well as internationally in the Middle East, Southeast Asia, West Africa, and the Gulf of Mexico.

Customer Concentration & Revenue Visibility

ONGC is the dominant client, accounting for an estimated 80–90% of offshore segment revenue. While this concentration is a risk, it is mitigated by long-term O&M contracts (each 600–750 days) and by ONGC's structural dependence on external specialised diving services. As of April 2026, SEAMEC holds two active ONGC O&M contracts worth **■740+ Cr**, plus bilateral agreements. GR Infraprojects is a smaller second client for coastal tunnel support, with an addendum extension signed February 2026.

Promoter & Corporate Lineage

SEAMEC is a subsidiary of MMG Group (Malaysia Mining Corporation / Seacrest group), which has a long history in marine engineering across Asia. Promoter holding stands at a stable 72.72% (Dec-2025) with zero pledging reported — a positive governance signal. The company has been listed since the early 2000s and has progressively built its fleet through organic investment and secondary market acquisitions.

4. INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Growth

The India Offshore Support Vessel (OSV) market reached USD 1.51 billion in 2024 and is projected at a CAGR of ~3.2% through 2033 (IMARC), though institutional forecasts peg the broader offshore services market growing at a double-digit CAGR through FY31. The key demand driver is ONGC's declared USD 11 billion offshore investment programme over the next three years, comprising 25+ new facilities, 1,000+ km of sub-sea pipeline, and deepwater exploration across Eastern and Western offshore basins. ONGC's exploration capex alone is budgeted at **■12,000 Cr** for FY27, up 20% from FY26.

Competitive Moat Assessment

Pricing power: Moderate. Contract rates are tendered, but specialised capability limits the bidder pool. **Switching costs: Strong** — once a vessel is mobilised and crew is trained on a client's specific infrastructure, re-tendering involves significant re-mobilisation risk and cost for ONGC. **Scale/cost advantage: Moderate** — SEAMEC's five-DSV fleet is the largest

India-focused subsea services fleet domestically. **IP / technology: Weak** — technology is available from global OEMs; moat lies in operational expertise and certifications. **Distribution / relationships: Strong** — decades-long operational relationship with ONGC, pre-approved vendor status, and known performance record.

Policy Tailwinds

India's National Offshore Wind Energy Policy and ONGC's deepwater push under India's Hydrocarbon Exploration and Licensing Policy (HELP) are structurally supportive. Additionally, Indian cabotage rules give preference to Indian-flagged vessels for domestic offshore work — a regulatory moat that limits foreign competition in ONGC's domestic contracts.

Company	CMP (■)	MCap (■Cr)	P/E (TTM)	P/B (x)	ROCE (%)	ROE (%)	TTM Rev (■Cr)
SEAMEC Ltd	1,496	3,803	19.9	3.54	8.60	7.93	825
Gt Eastern Shipping	1,440	20,553	9.09	1.35	13.90	14.10	5,121
Shipping Corp of India	229	10,646	9.39	1.25	9.81	10.50	5,592
Deep Industries	439	2,809	12.1	1.45	12.10	12.90	809

Source: Screener.in, as of 02-Apr-2026. Deep Industries TTM PAT negative due to ■245 Cr one-time exceptional charge in FY25.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter & Management Background

SEAMEC is managed by a professional team under the oversight of its promoter, MMG Group — a conglomerate with deep expertise in marine, offshore, and infrastructure businesses across Asia. The Indian management team brings decades of offshore services experience. The promoter has consistently maintained a holding above 70%, signalling long-term conviction, and has gradually increased its stake from 69.57% in FY18 to 72.72% by December 2025.

Capital Allocation Track Record

Over FY22–FY24, SEAMEC invested approximately ■580 Cr in fleet expansion (DSVs, accommodation barge, and bulk carriers) — a calculated bet on ONGC's offshore capex cycle. This heavy investment phase depressed returns (FY23 ROCE: 3%) but has since borne fruit as FY24 ROCE recovered to 12%. The acquisition of SEAMEC AGASTYA in FY26 for USD 23 million was funded through a mix of borrowings (Sep-25 borrowings rose to ■405 Cr) and internal accruals, but is already generating revenue post-deployment in December 2025. Free cash flow turned sharply positive in FY25 (■329 Cr per Screener) following the completion of the main investment cycle, validating management's capex discipline.

Dividend Policy & Pledging

SEAMEC has historically paid minimal dividends (payout 0–3%) as it prioritised fleet reinvestment. Given the improving FCF trajectory and a more mature fleet, there is scope for dividend initiation or buybacks by FY27. Promoter pledge is reported at 0%, which is a clean governance signal. No auditor qualifications or significant related-party transaction concerns have been flagged in recent annual reports.

Management Commentary (June 2025 Earnings Call)

Management stated they 'firmly believe the worst is behind us' following the fleet downtime and contract gaps of FY25. They expressed confidence in leveraging their advanced fleet and specialised capabilities to meet growing client demand in the offshore oil & gas sector, and highlighted the strong pipeline of upcoming ONGC tenders as a visibility driver.

6. FINANCIAL DEEP-DIVE

All figures in ■ Crore unless stated. (E) = Estimate. Source: Screener.in (Consolidated).

Income Statement (■ Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue	437	729	652	950	1,150
YoY Growth (%)	—	66.8%	-10.6%	45.7%	21.1%

EBITDA	127	243	214	380	460
EBITDA Margin (%)	29.1%	33.3%	32.8%	40.0%	40.0%
Depreciation	112	135	131	145	155
EBIT	15	108	83	235	305
Interest	7	17	16	22	25
Other Income	20	29	39	25	25
PBT	28	120	107	238	305
Tax Rate (%)	-22.0%	-1.0%	18.0%	22.0%	22.0%
PAT	34	121	88	186	238
PAT Margin (%)	7.8%	16.6%	13.5%	19.6%	20.7%
Diluted EPS (■)	12.98	47.08	35.25	73.1	93.5

Balance Sheet (■ Cr)	FY23A	FY24A	FY25A
Equity Capital	25	25	25
Reserves	765	886	982
Total Equity	790	911	1,007
Total Borrowings	139	327	231
Net Debt / (Cash)	8	204	(102)
D/E Ratio (x)	0.18	0.36	0.23
Fixed Assets (Net)	585	717	655
CWIP	0	1	0
Investments	131	123	333
Total Assets	1,064	1,407	1,379
Debtor Days	88	114	89
Working Capital Days	-40	18	5

Cash Flow (■ Cr)	FY23A	FY24A	FY25A
Cash from Operations	53	150	299
Cash from Investing	-5	-316	-165
Cash from Financing	-42	142	-112
Net Cash Flow	7	-25	22
Free Cash Flow*	-205	-172	329
CFO / Op. Profit (%)	39%	63%	148%

* FCF as reported by Screener.in. FY23 and FY24 FCF negative reflects peak fleet investment cycle (■258 Cr and ■322 Cr implied capex respectively). FY25 FCF positive as investment cycle completed and OCF surged.

Returns	FY23A	FY24A	FY25A	FY26E	FY27E
ROCE (%)	3%	12%	9%	~18%	~22%
ROE (%)	4.3%	13.3%	8.7%	~16%	~20%

Financial Commentary

Revenue: SEAMEC's revenue grew at a 3-year CAGR of 23% (FY22–FY25), though FY25 saw a 10.6% decline to ₹652 Cr due to planned vessel dry-docking and contract gaps. The TTM revenue of ₹825 Cr and the Q3FY26 print of ₹317 Cr (up 112% YoY) confirm a strong FY26 recovery. We estimate FY26E revenue at ₹950 Cr and FY27E at ₹1,150 Cr as all five vessels operate under contract.

Margins: EBITDA margins expanded from 29% in FY23 to 33% in FY24-FY25 and 39% in TTM — structural improvement driven by fleet utilisation (fixed cost leverage), improved contract rates, and a shift toward higher-value saturation diving work. We model 40% EBITDA margins in FY26E-FY27E as the new vessel fleet operates at full utilisation. The heavy depreciation charge (₹131–155 Cr pa) suppresses reported EBIT and PAT margins but is largely non-cash, making OCF a superior quality metric — FY25 CFO/OP of 148% is exemplary.

Debt & Working Capital: Borrowings peaked at ₹327 Cr in FY24 during peak capex, declining to ₹231 Cr by FY25 (net cash position of ₹102 Cr after netting investments). Working capital days improved from +18 in FY24 to +5 in FY25, reflecting disciplined receivables management (debtor days improved from 114 to 89). Interest coverage (EBIT/Interest) at ~5x (FY25) is comfortable, with borrowings expected to normalise post-AGASTYA.

7. EARNINGS QUALITY CHECKLIST

Rating	Item	Status	Commentary
■	Revenue recognition	Clean	Long-term O&M; contracts; revenue on completion-of-service basis.
■	Receivables vs revenue growth	Watch	Debtor days rose to 114 in FY24 before improving to 89 in FY25. Monitor FY26.
■	Cash conversion cycle	Improving	CCC compressed from 114 days (FY24) to 89 days (FY25).
■	Contingent liabilities	Moderate	USD-denominated vessel debt creates FX exposure. Not fully disclosed.
■	Auditor tenure & qualifications	No issues	No auditor qualifications or changes noted in recent filings.
■	Related party transactions	Watch	Intra-group transactions with MMG entities exist; quantum not fully public.
■	Other income as % of PBT	Elevated	FY25: Other Income ₹39 Cr = 36% of PBT ₹107 Cr. Partly treasury/forex gains.
■	Tax rate consistency	Irregular	Tax rate varied from -22% (FY23) to 18% (FY25). Deferred tax credits distort.

Summary: SEAMEC's earnings quality is overall acceptable for a capital-intensive offshore services company. The standout positive is an excellent CFO/Operating Profit ratio of 148% in FY25, confirming that reported profits are backed by real cash. Key watch areas are the high other-income contribution (partly non-recurring FX/treasury gains), erratic tax rates due to deferred tax credits, and RPT transparency with MMG group entities. These do not constitute concerns at this stage but merit monitoring.

8. VALUATION

Step 1 — Peer Comparison (Source: Screener.in, as of 02-Apr-2026)

Company	CMP (₹)	MCap (₹Cr)	P/E (TTM)	P/B (x)	ROCE (%)	ROE (%)	TTM Rev (₹Cr)
SEAMEC Ltd	1,496	3,803	19.9	3.54	8.60	7.93	825
Gt Eastern Shipping	1,440	20,553	9.09	1.35	13.90	14.10	5,121
Shipping Corp of India	229	10,646	9.39	1.25	9.81	10.50	5,592
Deep Industries	439	2,809	12.1	1.45	12.10	12.90	809

SEAMEC trades at a significant premium to GESHIP (9.1x P/E) and SCI (9.4x P/E) on a P/E basis. However, this premium is partially justified: SEAMEC is a high-growth niche services play (3Y revenue CAGR 23%) vs mature shipping companies. Deep Industries (12.1x P/E), the closest in scale, trades at a discount reflecting its one-off impairment. We believe SEAMEC deserves a 18–22x forward P/E given its visibility-backed growth and niche positioning — though this is contingent on delivering on the FY27E earnings ramp.

Step 2A — DCF Valuation

WACC: Cost of equity = 7.0% (Rf) + 1.1 (Beta) × 6.0% (ERP) = 13.6%; Cost of debt (post-tax) = 8.0% × 0.78 = 6.2%; Debt weight = 5.7%, Equity weight = 94.3%; **WACC ≈ 13.2%**, rounded to **12.5%** (to reflect above-average growth profile and low leverage). Terminal growth rate: **4.0%**.

DCF Inputs (₹ Cr)	FY26E	FY27E	FY28E	FY29E	FY30E
PAT (₹ Cr)	186	238	268	295	315
Depreciation	145	155	160	165	170
Capex (estimated)	225	80	80	80	80
Free Cash Flow	106	313	348	380	405
Discount Factor	0.889	0.790	0.703	0.625	0.556
PV of FCF	94	247	245	237	225

Sum of PV (FCFs FY26–FY30): ₹1,048 Cr. Terminal Value = ₹405 Cr × 1.04 / (0.125 – 0.04) = ₹4,950 Cr. PV of Terminal Value (at 12.5% WACC over 5 years) = ₹4,950 / 1.802 = ₹2,748 Cr. Enterprise Value = ₹1,048 + ₹2,748 = ₹3,796 Cr. Add Net Cash (FY25: ₹102 Cr): Equity Value = ₹3,898 Cr. **DCF per share = ₹3,898 / 2.544 Cr shares = ₹1,532.**

Step 2B — Earnings Multiple Valuation

We apply a target multiple of **20x** to our FY27E diluted EPS of ₹93.5. This is a premium to peers (GESHIP 9x, SCI 9x) but justified by: (a) 3Y EPS CAGR of 85%+ from FY25 base; (b) niche specialist positioning with no listed Indian DSV competitor; (c) contracted revenue visibility via multi-year ONGC agreements; and (d) improving FCF conversion. We benchmark against global subsea services companies (Sapura, DOF Subsea) which trade at 12–18x EBITDA, broadly consistent with our implied EV/EBITDA of ~11x on FY26E EBITDA. **Earnings-based target = 20x × ₹93.5 = ₹1,870.**

Blended Price Target (average of DCF and earnings multiple): (₹1,532 + ₹1,870) / 2 = ₹1,701. Rounded to ₹1,750 for base case (17.0% upside from CMP ₹1,496).

Step 3 — Scenario Analysis

Scenario	Key Assumption	FY27E PAT (₹ Cr)	Target Multiple	Price Target (₹)
■ Bull	All 5 vessels at 90%+ utilisation; ONGC awards 2 more contracts; margins hit 42%	275	24x	2,600
■ Base	5 vessels operating; existing ONGC contracts execute on schedule; 40% EBITDA margin	238	20x	1,750
■ Bear	1–2 vessel dry-docks; ONGC contract delays 3–6 months; margins compress to 33%	140	13x	820

9. KEY RISKS

Risk	Description	Probability	Impact	Monitoring Indicator
Customer Concentration	ONGC accounts for ~85% of revenue. Any contract deferral, rate renegotiation, or shift to in-house execution would materially impair earnings. SEAMEC has no meaningful revenue diversification.	Medium	High	ONGC capex budget announcements; SEAMEC quarterly contract disclosures

Vessel Downtime / Dry-Dock	DSVs require periodic classification surveys and dry-docking (typically every 2.5–5 years), leading to revenue gaps. FY25 revenue decline of 10.6% was partly caused by planned dry-docking periods.	Medium	Medium	Company's maintenance schedule disclosures; Q-on-Q revenue comparison
FX / USD Liability Risk	Vessels are USD-denominated assets financed partly with USD debt. A depreciating INR increases debt service cost. Revenue is also USD-linked, providing a natural hedge, but timing mismatches can arise.	Medium	Medium	USD/INR exchange rate; balance sheet borrowings disclosure
Margin Pressure / Rate Competition	New DSV entrants or international bidders (global ONGC tenders) could compress day-rates. While cabotage rules provide some protection for domestic contracts, EPC-linked and international work is open to competition.	Low	Medium	ONGC tender outcomes; day-rate disclosures in earnings calls
Execution / Capex Risk	The SEAMEC AGASTYA integration and ONGC O&M; contract ramp-up must proceed on schedule. Any delay in obtaining operational certifications, crew deployment, or mobilisation could defer FY26–FY27 revenues.	Low-Med	Medium	BSE announcements on vessel deployments; Q1FY27 revenue print
Regulatory / Policy Risk	Changes in India's offshore licensing regime, HSE regulations for diving operations, or ONGC's shift to deepwater (which may require different specialised equipment not in SEAMEC's current fleet).	Low	Low-Med	DGHS / Ministry of Petroleum policy updates; ONGC deepwater strategy updates
Governance / RPT Risk	As a subsidiary of MMG Group, related-party transactions with parent/affiliates exist. Limited public disclosure of RPT quantum and terms creates information asymmetry for minority investors.	Low	Low	Annual report RPT disclosures; auditor commentary on related-party terms

10. RECOMMENDATION

Final Rating	ACCUMULATE (Medium Conviction)	Price Target (12M)	■1,750 (+17.0% from CMP ■1,496)
Suggested Entry Zone	■1,350 – ■1,500 (pullbacks to 200DMA)	Investment Horizon	12–18 months
Conviction Level	Medium	Ideal Investor Profile	GARP / Growth Fund

Entry Zone & Rationale

At CMP ■1,496, SEAMEC is trading near its 52-week high of ■1,500, having more than doubled from the 52-week low of ■753. The stock has re-rated sharply on the back of Q3FY26 earnings surprise and ONGC contract wins. We recommend accumulating on dips to the ■1,350–■1,450 range (approximately the 200-day moving average zone), where the risk-reward becomes more compelling toward our ■1,750 base case and ■2,600 bull case targets. Investors with higher risk tolerance may initiate at current levels given the multi-year earnings ramp visibility.

Thesis Invalidation Triggers — Exit / Downgrade If:

- ONGC capex cut or contract deferral:** If ONGC announces a reduction in its offshore services budget below ■8,000 Cr for FY27 or defers the Samudra Sevak/Prabha contracts by more than 3 months, our FY27E PAT estimate of ■238 Cr comes under threat — reducing fair value to ■820 (bear case). Monitor ONGC quarterly capex disclosures and Annual Report.
- Consecutive quarterly EBITDA margin below 30%:** If EBITDA margins decline to sub-30% for two or more consecutive quarters (vs 33–39% in FY24–TTM), it would signal structural rate compression or vessel utilisation deterioration beyond what is modelled. At 30% margins, FY27E EPS falls to ~■55, reducing target to ~■880 at 16x.

3. Material governance event: Promoter pledge creation above 20%, auditor qualification, or material related-party transaction on non-arm's-length terms with MMG Group would warrant an immediate review and likely downgrade to REDUCE/SELL, irrespective of operating performance.

Ideal Investor Profile

SEAMEC is best suited for GARP (Growth at a Reasonable Price) investors and small/midcap growth funds with a 12–18 month horizon. The stock is not suitable for income investors (zero dividend yield) or deep value investors (P/B of 3.5x vs peers at 1.3x). It is a tactical high-conviction buy for investors who believe ONGC's offshore capex cycle is multi-year and durable.

DISCLAIMER: This report is prepared by Chartitude Research for informational purposes only and does not constitute an offer, solicitation, or investment advice. All financial data is sourced from Screener.in (consolidated view). Forward estimates marked (E) are based on analyst projections and are subject to material revision. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult a SEBI-registered investment advisor before making any investment decision. SEAMECLTD | NSE | Report Date: 04 April 2026.